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No.

In the Supreme Court

OF THE

United States

OCTOBER TERM, 1995

ALAN MEGHRIG and MARGARET MEGHRIG,
Petitioners,

VS.

KFC WESTERN, INC.,
Respondent.

On Petition for a Writ of Certiorari to the
United States Court of Appeals
for the Ninth Circuit

PETITION FOR WRIT OF CERTIORARI

JOHN P. ZAIMES

Counsel of Record

CLIFTON J. MCFARLAND

MCCLINTOCK, WESTON,

BENSHOOF, ROCHEFORT,

RUBALCAVA & MACCUISH

444 South Flower Street, 43rd Floor

Los Angeles, California 90071

(213) 623-2322

Counsel for Petitioners

QUESTIONS PRESENTED

The citizen suit provision of the Resource Conservation and Recovery Act ("RCRA") gives federal district courts limited jurisdiction to "restrain" any person who has contributed to the handling of a solid or hazardous waste which endangers the environment or to "order such person to take such other action as may be necessary." In a case of first impression, a divided panel of the Ninth Circuit Court of Appeals has held that this provision also authorizes a private party to pursue a damages claim for reimbursement of the costs of cleaning up a contaminated site.

The same RCRA citizen suit provision allows a citizen suit only where a solid or hazardous waste "may present an *imminent* and substantial endangerment to health or the environment." The Ninth Circuit has also held that a RCRA citizen suit may be commenced well after the site has been fully cleaned up, notwithstanding the "imminent and substantial endangerment" language of the statute.

The questions presented for review are:

1. Whether the citizen suit provision of RCRA, 42 U.S.C. § 6972 (a)(1)(B), which authorizes district courts to "restrain" persons who have contributed to contamination or to "order such persons to take such other action as may be necessary", also authorizes a private party suit for reimbursement of cleanup costs.
2. Whether the citizen suit provision of RCRA, 42 U.S.C. § 6972(a)(1)(B), which only permits suits against persons who have contributed to the disposal of solid or hazardous waste "which may present an imminent and substantial endangerment to health or the environment", can be read to authorize a suit for contamination that was fully remediated years before commencement of the suit.

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PETITION FOR WRIT OF CERTIORARI

Petitioners Alan Meghrig and Margaret Meghrig (the "Meghrigs") respectfully petition for a writ of certiorari to review the judgment and opinion of the United States Court of Appeals for the Ninth Circuit in this case.

OPINIONS BELOW

The opinion of the Court of Appeals for the Ninth Circuit is reported at 49 F.3d 518, and is reprinted in the Appendix hereto at pages A1 to A20. The unpublished order of the Court of Appeals dated April 14, 1995 denying the Meghrigs' petition for rehearing is reprinted in the Appendix at page A26.

The unpublished order and opinion of the District Court dated November 9, 1992 dismissing the action is reprinted in the Appendix at pages A21 to A23. The unpublished order of the District Court dated September 21, 1992, granting the Meghri's motion pursuant to Federal Rule of Civil Procedure 12(b)(6) and granting KFC Western leave to amend is reprinted in the Appendix at pages A24 to A25.

JURISDICTION

The judgment of the Ninth Circuit Court of Appeals was entered on March 1, 1995. A timely petition for rehearing was denied on April 14, 1995. This petition is filed within ninety days of denial of the petition for rehearing by the Court of Appeals. This Court has jurisdiction under 28 U.S.C. § 1254(1).

STATUTORY PROVISION INVOLVED

Title 42, United States Code, § 6972(a)(1)(B), provides, in pertinent part, that:

"Except as provided in subsection (b) or (c) of this section, any person may commence a civil action on his own behalf--

(1)(A) ***

(B) *against any person*, including the United States, and any other governmental instrumentality or agency, to the extent permitted by the eleventh amendment to the Constitution, and including any past or present generator, past or present transporter, or past or present owner or operator of a treatment, storage, or disposal facility, *who has contributed or who is contributing to the past or present handling, storage, treatment, transportation, or disposal of any solid or hazardous waste which may present an imminent and substantial endangerment to health or the environment;*

* * *

The district court shall have jurisdiction, without regard to the amount in controversy or the citizenship of the parties . . . to restrain any person who has contributed or who is contributing to the past or present handling, storage, treatment, transportation, or disposal of any solid or hazardous waste referred to in paragraph (1)(B), to order such person to take such other action as may be necessary, or both, or to order the Administrator to perform the act or duty referred to in paragraph (2), as the case may be, and to apply any appropriate civil penalties under section 6928(a) and (g) of this title.¹

(Emphasis added.)

STATEMENT OF THE CASE

The District Court's jurisdiction in this action is based on 42 U.S.C. § 6972(a), and 28 U.S.C. §§ 1331 and 1367.

This case arises out of the cleanup of gasoline-contaminated soil at a commercial property located in Los Angeles, California upon which a gasoline service station was once operated. The District Court dismissed the case for lack of subject matter jurisdiction based on Petitioners' second motion therefor pursuant to Federal Rule of Civil Procedure Rule 12(b)(6). This Petition follows the Ninth Circuit Court of Appeals' reversal of the District Court's decision.

Because the issues herein were raised at the pleading stage, the facts set forth below, though disputed in many instances by Petitioners and incomplete in other instances, are primarily those alleged by Respondent in its first amended complaint. Additionally, certain undisputed facts developed in discovery in the parallel state court action are added sparingly to complete the factual picture for

¹ Section 6972 of Title 42, United States Code, is reprinted in its entirety in the Appendix at pages A27 to A32.

this Court.

A. Statement Of Relevant Facts

The real property which is the subject of the underlying action is presently owned by Respondent (plaintiff below) KFC Western, Inc. ("KFC"), which operates a Kentucky Fried Chicken franchise on that property. (C.R. 10, ¶ 2.)² KFC bought the property from Petitioners (defendants below) Alan Meghrig and Margaret Meghrig ("the Meghrigs") nearly twenty years ago, in or about September 1975. (C.R. 10, ¶¶ 2, 15.)

The Meghrigs, who are brother and sister, had owned the property for 12 years. Title had been put in their names by their father when he acquired the property in 1963, while both Petitioners were teenagers. The Meghrigs never operated a service station on the property. Prior owners and/or their lessees had operated gasoline service stations on the property for 45 years (dating back to 1917) before the Meghrigs bought it. Plaintiff has not sued any of those prior owners or lessees.

The last underground storage tanks on the property, which had previously been abandoned, were removed within two years of the time the Meghrigs took title. Notwithstanding the long history of service station operations on the property, KFC has sued the Meghrigs, and only the Meghrigs, for reimbursement of the costs of cleaning up gasoline contamination on the property caused by an underground storage tank leak. (C.R. 10, ¶¶ 1, 4.)

KFC discovered this contamination in October 1988, commenced remediation, and *completed that remediation* in early 1989. (C.R. 10, ¶ 5.) The Meghrigs were unaware of the

² Although the record on appeal to the Ninth Circuit is not before this Court, we include references to it in order to demonstrate the record support for the factual assertions herein and to have those citations readily accessible to the Court should the record be made available to it.

contamination until well after the completion of remediation. (C.R. 10, ¶¶ 5, 16.) Any endangerment posed by the contamination was thus eliminated in early 1989, when cleanup was completed and was certified complete by the appropriate governmental agency.

KFC first brought suit in the District Court over three years later, in late May 1992. (C.R. 10, ¶ 16.) Consequently, KFC cannot plead, and has not pled, that any "imminent and substantial endangerment" existed at the time it filed its suit. Rather, KFC can only plead, and did only plead below, that the alleged contamination "*may have presented*" (in the past) an imminent and substantial endangerment. (C.R. 10, ¶ 23.)

B. Proceedings In The District Court Below

KFC's District Court complaint consisted of a single cause of action brought under the citizen suit provisions of the Resource Conservation and Recovery Act ("RCRA"), 42 U.S.C. § 6972(a)(1)(B). The complaint sought only monetary damages for past cleanup expenses which KFC had allegedly incurred. (C.R. 10, ¶¶ 7, 24.)

[KFC originally sued these same two defendants in California state court under nine different state statutory and common law theories. *See, KFC Western, Inc. v. Meghrig*, 23 Cal.App.4th 1167, 28 Cal.Rptr.2d 676 (1994). In that action, as here, KFC sought to recover damages in the form of monies it had previously expended to remediate soil contamination on the property.]

In the District Court, petitioners moved to dismiss KFC's original RCRA complaint on two independent grounds: (1) because the complaint admitted that the alleged contamination had been fully remediated more than three years prior to the filing of KFC's complaint, there was no "imminent and substantial endangerment," as required for RCRA citizen suits; and (2) because KFC sought only money damages, it could not maintain a citizen suit under RCRA, since that statute only authorizes injunctive relief. The District Court granted the Meghrigs' motion but gave KFC leave to

amend. App. at A24.

KFC's amended complaint attempted to cure the defects in its original complaint by alleging: (1) that the contamination "may have presented" (at some time in the past) an imminent and substantial endangerment; and (2) that its damages claim was really one for "equitable restitution." Petitioners again moved to dismiss on the grounds that these wording changes did not cure the defects in KFC's RCRA cause of action. The endangerment was still not "imminent," irrespective of what it "may have been" at some past time. And KFC's "equitable restitution" claim, regardless of its new label, sought no more than did KFC's original complaint: money damages.

The District Court relied on two independent grounds in granting the Meghri's renewed motion to dismiss, this time without leave to amend. First, the Court determined that the citizen suit provision of RCRA under which KFC had brought this action was forward-looking and was designed to provide a method for private citizens to function as private attorneys general to bring suit to curtail *current* risks posed by contamination. App. at A22 to A23. Because the citizen suit provision, 42 U.S.C. § 6972(a)(1)(B), authorizes such suits only where there is an "imminent and substantial endangerment to health or the environment," and because the cleanup at issue here was completed several years before KFC commenced its suit, the District Court determined that there was no endangerment to be addressed and that KFC's suit was therefore not authorized by RCRA. App. at A22. Second, the District Court ruled that the provision of RCRA that authorizes district courts to "restrain" and "order such person to take such other action as may be necessary" entitles plaintiffs like KFC only to injunctive relief (prohibitory or mandatory). Because KFC was seeking damages in the form of costs incurred for a completed cleanup, the relief which KFC sought could not be granted under section 6972(a)(1)(B). App. at A22 to A23.

C. Proceedings In The Ninth Circuit Court Of Appeals

In December 1992, KFC appealed the judgment of the

District Court to the Court of Appeals for the Ninth Circuit. On March 1, 1995, a divided Court of Appeals, in an opinion by Circuit Judge Pregerson, reversed the judgment of the District Court. App. at A1 to A12. Circuit Judge Brunetti issued a lengthy and pointed dissenting opinion. App. at A12 to A20.

The majority opinion first addressed the issue whether the danger must exist at the time of filing suit in order to meet the "imminent and substantial endangerment" requirement of a RCRA citizen suit. The majority acknowledged that KFC had cleaned up the gasoline contamination more than three years prior to filing suit and further observed that the legislative history of RCRA disclosed that the term "imminent" in the RCRA citizen suit provisions means that a claim lies only:

"for events which took place at some time in the past, but *which continue to present a threat* to the public health or the environment." App. at A4 (emphasis in original).

Nevertheless, the majority opinion concluded that RCRA authorizes citizen suits with respect to contamination that *in the past* posed imminent and substantial danger. App. at A5. The majority relied on *dicta* from an Eighth Circuit case brought by EPA, not a private party, under a separate provision of RCRA. *United States v. Aceto Agric. Chem. Corp.*, 872 F.2d 1373 (8th Cir. 1989). The majority also relied on its own reading of RCRA as having the broad purpose of providing authority to the courts to grant all relief necessary to ensure protection of human health and the environment. App. at A6.

The Ninth Circuit majority also concluded that a citizen suit for compensatory damages could be implied under RCRA based on the following statutory language:

"[t]he district court shall have jurisdiction ... to restrain any person who has contributed or who is contributing to [an imminent and substantial

endangerment and] to *order such person to take such other action as may be necessary...*"

App. at A6 quoting 42 U.S.C. § 6972(a)(1)(B) (emphasis supplied by majority opinion).

Finally, the majority opined that it would be poor public policy to interpret the RCRA citizen suit provision to forbid the recovery of cleanup costs because the Comprehensive Environmental Response, Compensation and Recovery Act ("CERCLA")³ and state law do not provide adequate substitute sources of relief. In a footnote, the Court explained that CERCLA specifically excludes suits based on petroleum contamination and cryptically observed as to state law claims that:

"Even though causes of action for nuisance, trespass and potential negligence are available to plaintiffs such as KFC, tort remedies are generally inadequate because of the difficulties of proof and attendant court delays." App. at A11 n.6.

[Ironically, KFC's ongoing state court action based on nuisance and trespass was set to commence trial on August 1, 1995.]

A vigorous dissent urged four separate bases for affirming the District Court's opinion:

1. Both the plain language of the phrase "such other action as may be necessary" and the specific legislative history of the RCRA citizen suit provision demonstrate that Congress did not intend environmental citizen suits to include actions for monetary reimbursement. App. at A13 to A14.

2. The unambiguous term "may present an imminent and substantial endangerment" means that the endangerment must exist at the site at the time the private citizen files suit. The statute would read "may or *may have presented*" if it intended to also cover

³ 42 U.S.C. §§ 9601-96.

past endangerments. App. at A14.

3. The notice requirements of § 6972 of RCRA further support the requirement that the "imminent and substantial endangerment" be present at the time of filing suit. The statute requires that a private citizen give 90 days notice to the EPA Administrator and further provides that, if the EPA Administrator elects to bring suit, a private citizen is foreclosed from bringing suit. The dissent urged that this provision confirmed that the "imminent and substantial endangerment" must exist at the time the suit is filed and that the citizen suit provisions do not permit post-cleanup reimbursement actions. App. at A14.

4. The absence of an express limitations period in RCRA, particularly in light of the fact that there is such an express limitations period in CERCLA, further confirms that RCRA does not authorize citizen suits for damages. App. at A15 to A16.

REASONS FOR GRANTING THE PETITION

By implying for the first time a right of action for the recovery of cleanup costs in RCRA's citizen suit provision, the Court of Appeals has dramatically increased the scope of remedies authorized by Section 6972 beyond the prohibitory and mandatory injunctive relief expressly provided therein. In so doing, the Court of Appeals has decided an important federal question with a heavy impact on the extremely active area of environmental litigation in a way that conflicts with two prior opinions of this Court on the scope of citizen suit provisions in federal environmental statutes.

In addition, there is currently pending in the Court of Appeals for the Eighth Circuit an appeal which presents the same issues and as to which it appears the Eighth Circuit will reach a conflicting decision. For these reasons, it is necessary for this Court to determine the proper scope of the citizen suit provisions of RCRA.

I. The Ninth Circuit's Determination That 42 U.S.C. § 6972(a)(1)(B) Contains An Implied Right Of Action For Damages Conflicts With The *Sea Clammers* And *Gwaltney* Decisions Of This Court And Likely With A Pending Decision Of The Eighth Circuit

The scope and extent of environmental citizen suit provisions in general, and the scope and extent of the citizen suit provision in RCRA in particular, are matters of exceptional importance. This Court has issued two significant decisions interpreting the scope of environmental citizen suit provisions. *Middlesex County Sewerage Authority v. National Sea Clammers Assn.*, 453 U.S. 1 (1981) ("*Sea Clammers*"); *Gwaltney of Smithfield, Ltd. v. Chesapeake Bay Foundation, Inc.*, 484 U.S. 49 (1987) ("*Gwaltney*"). This Court expressly ruled in *Sea Clammers* that federal courts should not expand the remedies provided to citizen plaintiffs beyond those expressly provided in the statute, absent strong indicia of Congressional intent to so expand. This Court has also held in *Gwaltney* that the structure of citizen suit provisions in federal *environmental statutes* demonstrates that these provisions permit ongoing harms to be enjoined, but do not provide a remedy for harms wholly past.

The Court of Appeals majority runs afoul of both proscriptions by expanding the RCRA citizen suit provision to allow an implied right of action for the reimbursement of cleanup costs for contamination that has long since been cleaned up.

A. The Ninth Circuit's Decision Directly Conflicts With This Court's Decision In *Sea Clammers* By Expanding Citizen Plaintiff Remedies Beyond Those Expressly Provided In The Statute And By Doing So Contrary To Congressional Intent

1. The Plain Language Of The Statute Authorizes Only Injunctive Relief

This Court's decision in *Sea Clammers* forbids lower courts

to expand citizen suit remedies beyond those expressly provided in the statute. The Ninth Circuit majority has construed RCRA in a manner that its express language cannot support. The RCRA citizen suit provision expressly provides only the following two remedies where the handling of a hazardous or solid waste has created an imminent and substantial endangerment:

"The district court shall have jurisdiction...to [1] *restrain any person* who has contributed or who is contributing to the past or present handling...of any solid or hazardous waste [which may present an imminent and substantial endangerment to human health or the environment, or] [2] *to order such person to take such other action as may be necessary, or both...*

42 U.S.C. § 6972(a)(1)(B) (emphasis added).

The sole purpose of Section 6972(a)(1)(B) is to allow injunctive relief where the handling of solid or hazardous waste poses an imminent and substantial endangerment. The district court's jurisdiction "to restrain" undisputedly confers the power to issue an injunction prohibiting a person from acting in a manner which may be creating an imminent and substantial endangerment. The term "order such person to take such other action as may be necessary" allows courts to issue mandatory injunctions as well; to order contamination cleanup, for example.

The Court of Appeals erroneously relied on the language allowing district courts to take such "other action as may be necessary" as the basis for a compensatory damages action. This language does not allow for compensatory actions. The reference to "such other action" in this phrase denotes action different from or in addition to the action required of "such person" pursuant to a restraining order.⁴ The "as may be necessary" language signifies

⁴ Congress's decision to grant district courts separate and explicit jurisdiction to issue both prohibitory and mandatory injunctions, rather than simply (continued...)

measures required to stabilize and/or eliminate the imminent and substantial endangerment.

Mandatory injunctive relief is important in the RCRA context because, unlike those statutes where citizen-plaintiffs sue only to make a defendant *stop* doing something (e.g. violating an air or water permit limit), in the RCRA context citizen-plaintiffs may need to make defendants both *stop* causing a solid waste problem and *start* doing something, i.e., cleaning it up. Thus arose the need for language to provide for mandatory injunctive relief.

The RCRA citizen suit provision, then, is not ambiguous and neither expressly nor implicitly grants a district court jurisdiction to award a plaintiff costs it has incurred in cleaning up a solid waste problem. This Court has repeatedly instructed the federal courts that unambiguous statutory language should be accorded its plain meaning. *See Hallstrom v. Tillamook County*, 493 U.S. 20, 28 (1989) (construing the RCRA citizen suit provision and stating that plain statutory language is conclusive absent a "clearly expressed legislative intention to the contrary.") The provision at issue here plainly provides for prohibitory and mandatory injunctive relief and just as plainly does not provide for recovery of past cleanup costs.

This Court has further instructed the federal courts that "to acknowledge ambiguity is not to conclude that all interpretations are equally plausible." *Gwaltney*, 484 U.S. at 57. Thus, even to the extent that the language in question may be ambiguous, its "most natural reading" (*id.*) is as a grant of jurisdiction to provide mandatory injunctive relief and not monetary relief. In the case of

⁴(...continued)

providing for a more general injunctive power, should be viewed under the presumption that Congress was aware of the traditional reluctance of federal courts to issue preliminary mandatory injunctions. *See* 7 James W. Moore, *Moore's Federal Practice*, ¶65.04[1], 65-84 (2d ed. 1994). By specifically granting district courts jurisdiction to issue mandatory injunctions, Congress may have intended to dispel the longstanding concerns of federal courts regarding the issuance of mandatory injunctions before a hearing on the merits.

ambiguous language, recourse may be had to the legislative history.⁵

2. The History And Purpose Of Federal Environmental Citizen Suit Provisions And The Legislative History Of RCRA Confirm That Citizen Suits Are Limited To Injunctive Relief Only

This Court's decision in *Sea Clammers* only permits deviation from the express terms of a citizen suit provision where there are strong indicia of Congressional intent to provide a further remedy. In the case of RCRA, there not only are no indicia of such Congressional intent, the relevant legislative history confirms that the citizen suit provisions of RCRA are limited to injunctive relief. In fact, the legislative history of RCRA, particularly in light of the history and purpose of environmental citizen suit provisions, demonstrates that Congress has considered including a remedy for monetary relief and deliberately decided not to do so.

a. The History And Purpose Of Citizen Suits

Congress introduced citizen suits into environmental statutory law in the 1970 amendments to the Clean Air Act. Since then, with the Clean Air Act serving as a model, Congress has included such provisions in virtually every piece of federal environmental legislation.⁶ *Hallstrom*, 493 U.S. at 23.

⁵ The Court of Appeals did not indicate whether it viewed the language at issue as ambiguous or unambiguous. Apparently, that court concluded that language allowing district courts to order parties to take "such other action as may be necessary" unambiguously provides for monetary relief. However, the Court provided no analysis other than to state that it "agree[d] with KFC that RCRA authorizes a restitutionary remedy...." App. at A6. Neither did the Court of Appeals examine the legislative history on this issue.

⁶ *See, e.g.* Toxic Substances Control Act, 15 U.S.C. § 2619; Endangered Species Act, 16 U.S.C. § 1540(g); Surface Mining Control and Reclamation Act, 30 U.S.C. § 1270; Marine Protection, Research and Sanctuaries Act, 33 U.S.C. §

Consequently, the citizen suit provisions in the various federal environmental statutes resemble one another in many respects. Fadil, *Citizen Suits Against Polluters*, 9 Harv. Env't L. Rev. 23, 26-28 (1985); see also, Boyer & Meidinger, *Privatizing Regulatory Enforcement*, 34 Buff. L. Rev. 833, 847-851 (1985). All contain a notice provision. All contain a bar to suit if the government is pursuing the matter. Virtually all provide for federal district court jurisdiction regardless of the amount in controversy or the citizenship of the parties. ¹⁴¹⁵ All authorize awards of attorneys' and expert witness fees and limited equitable relief (a violator may be required to comply with the applicable standards). Accordingly, the rationale adopted by this Court in *Sea Clammers* and *Gwaltney* is equally applicable to the RCRA citizen suit provision.

The purpose of citizen suit provisions in federal environmental statutes is to allow citizen-plaintiffs to act as "private attorneys general." There was concern in Congress as the initial citizen suit provisions were being enacted into law that a citizen suit provision that provided too broad a remedy could strip the government of prosecutorial discretion, lead to over-enforcement of the environmental laws and overburden the court system. The balance struck by Congress included the decision not to include a private damages remedy in citizen suit provisions. This position was articulated in the debates over the first citizen suit provision (in the 1970 Clean Air Act) as follows:

"It has been argued, however, that conferring additional rights on the citizen may burden the courts unduly. I would argue that the citizen suit provision of [this bill] has been carefully drafted to prevent this consequence from arising. First of all, it should be noted that the bill makes no provision

1415(g): Federal Water Pollution Control Act, 33 U.S.C. § 1365; Safe Drinking Water Act, 42 U.S.C. § 300j-8; Noise Control Act, 42 U.S.C. § 4911; Clean Air Act, 42 U.S.C. § 7604; CERCLA, 42 U.S.C. § 9659; Outer Continental Shelf Lands Act, 43 U.S.C. § 1349.

for damages to the individual. It therefore provides no incentives to suit other than to protect the health and welfare of those suing and others similarly situated. It will be the rare, rather than the ordinary, person, I suspect, who with no hope of financial gain and the very real prospect of financial loss, will initiate court action under this bill."

116 Cong. Rec. 33104 (1970)
(comments of Sen. Hart) quoted in
Sea Clammers, 453 U.S. at 17
n.27.

In light of the purpose of citizen suits, the overwhelming weight of case authority supports the proposition that monetary relief, whether labelled economic, compensatory or restitutionary, is not available as part of a RCRA citizen suit cause of action. *Kaufman and Broad - South Bay v. Unisys Corp.*, 822 F.Supp. 1468 (N.D. Cal. 1993); *Commerce Holding Co., Inc. v. Buckstone*, 749 F.Supp. 441 (E.D.N.Y. 1990); *Portsmouth Redev. & Housing Auth. v. BMI Apt. Assoc.*, 847 F.Supp. 380 (E.D. Va. 1994); *Gache v. Town of Harrison*, 813 F.Supp. 1037 (S.D.N.Y. 1993); *Mola Dev. Corp. v. United States*, 22 Env't. Rep. Cas. 1443 (C.D. Cal. 1985); *M.E.S.S. v. Weinberger*, 707 F.Supp. 1182 (E.D. Cal. 1988); but see *Bayless Invest. & Trad. Co. v. Chevron U.S.A., Inc.*, 39 Env't Rep. Cas. 1428 (D. Ariz. 1994). In addition, before the Ninth Circuit's ruling, the leading treatises on hazardous waste and environmental law had concluded that, under the RCRA citizen suit provision, "it is well settled that" an award of damages is not permitted. S. Cooke, *The Law of Hazardous Waste* § 16.03(3)(f) (1995); see also 4 W. Rodgers, *Environmental Law* § 7.6(b) (1992).

b. The Legislative History of RCRA

In the early 1970s, some federal courts suggested that citizen enforcers might recover damages under citizen suit provisions that did not expressly authorize damage relief. But in 1981, this Court ruled in *Sea Clammers* that no federal private right

of action for damages exists based on violations of the Federal Water Pollution Control Act ("FWPCA") or the Marine Protection, Research and Sanctuaries Act ("MPRSA"). This Court noted that the legislative history of both the FWPCA and the Clean Air Act mandated this conclusion.⁷ 453 U.S. at 17-18 n.28. As noted earlier, the citizen suit provisions in all environmental statutes, including RCRA, are modeled on the Clean Air Act and closely resemble one another.

The chief difference in the language of the RCRA citizen suit provision from the provision in the Clean Air and Clean Water Acts is the inclusion of the authority to "order such action as may be necessary," which appears in RCRA but not the earlier Acts. The only other citizen suit provision that contains the "order such other action as may be necessary" language is the CERCLA citizen suit provision. The legislative history of CERCLA makes the purpose of this language very clear. The CERCLA citizen suit was added to that statute by the Superfund Amendments and Reauthorization Act of 1986, two years after the RCRA citizen suit provision at issue here was enacted. In its consideration of the CERCLA citizen suit provision, the House Judiciary Committee both referenced and explained the "such other action" language in RCRA:

⁷ This Court also noted that the "elaborate enforcement provisions" addressing private and public enforcement under the FWPCA and the MPRSA and reasoned that Congress intended such painstakingly defined remedies to be exclusive. 453 U.S. at 13-15. The remedies afforded by RCRA are equally elaborate. RCRA authorizes the EPA to respond to violations of RCRA with compliance orders, civil suits, and such orders as may be necessary to protect public health and the environment. See 42 U.S.C. § 6973; 42 U.S.C. § 6928. The EPA may assess penalties for violations of Subtitle C (42 U.S.C. § 6921 *et seq.*) for noncompliance, and may assess penalties for failure to comply with an EPA Order issued pursuant to 42 U.S.C. § 6973, 42 U.S.C. § 6928(a), and 42 U.S.C. § 6973. Criminal penalties are available under 42 U.S.C. § 6928(d). In addition, any citizen may file suit against the EPA where there is an alleged failure of the EPA to perform any non-discretionary act or duty under 42 U.S.C. § 6972(a)(2).

"the cause of action for abatement of an imminent and substantial endangerment, like the one added to [RCRA] in 1984, is designed solely to aid in the clean-up of hazardous waste sites.

The Committee notes that this type of relief is consistent with that available for other actions authorized by this section. *These suits may also be brought for injunctive relief only*, i.e., citizens may seek a restraining order against private parties and/or a mandamus order to require the EPA or other relevant agency to perform a mandatory duty under CERCLA. *None of these actions are for money damages*. They are actions directly related to the principal purpose of the Superfund law -- i.e., to bring about quick identification and effective clean-up of dangerous hazardous waste sites."

H.R. Rep. No. 253, pt. 3, 99th Cong. 1st Sess. (1985) (emphasis added).⁸

Not surprisingly, the legislative history of the 1984 amendments to RCRA reflects the same Congressional intent: to authorize federal courts to issue injunctive relief to private party plaintiffs but not to award compensatory damages. The legislative history expressly stated that citizens have:

"a limited right under Section 7002 [42 U.S.C. § 6972] to sue to *abate* an imminent and

⁸ The language of the CERCLA amendments bill as it left the Judiciary Committee provided the district court with jurisdiction "to immediately restrain any person contributing to the endangerment ... [or] to order such person to take response action as provided for in this Act." The language in the bill as it passed the House was identical. The Conference Committee deleted the "endangerment" language in the citizen suit as redundant of RCRA and modified the statutory language accordingly. H.R. Rep. No. 253, pt. 3, 99th Cong. 1st Sess. (1985) (emphasis added).

substantial endangerment." H.R. Rep. No. 198, 98th Cong., 2d Sess. (1984), *reprinted in* 1984 U.S.C.C.A.N. 5576, 5612 (emphasis added.)

¹⁵ The RCRA legislative history also explains the primary goal of § 6972(a)(1)(B) as "the *prompt abatement* of imminent and substantial endangerments." *Id.* (Emphasis added.)⁹

Finally, it bears noting that, when Congress *intends* monetary relief to be available, it *expressly* says so. Indeed, the only environmental statute with a citizen suit provision that allows citizens to sue for damages is the Surface Mining Control and Reclamation Act ("SMCRA"). Section 520(f) of SMCRA, captioned "Action for damages", provides:

"Any person who is injured in his person or property through the violation by any operator of any rule, regulation, order, or permit issued pursuant to this chapter may bring an action for damages."

30 U.S.C. § 1270(f).

In sum, following this Court's directives in *Sea Clammers*, the history of federal statutory citizen suit provisions, read together with RCRA's express legislative history compels the conclusion that only injunctive relief, and not monetary damages, is available under the RCRA citizen suit provision. The Ninth Circuit's holding is directly contrary to this Court's teachings in *Sea Clammers*.

⁹ Several House members feared that the amended citizen suit provisions would cause citizens to flood the federal courts with pendent state-law claims, including tort claims for damages, while suing "to abate imminent hazards." *Id.* at 5635. While Congress decided not to prohibit pendent state-law claims, it cautioned that it expected "courts to exercise their discretion concerning pendant jurisdiction in a way that will not frustrate or delay the primary goal of this provision, namely the prompt abatement of imminent and substantial endangerments." *Id.* at 53. The corresponding Senate Committee Report echoed the House Committee's comments on pendant jurisdiction. S. Rep. No. 284, 98th Cong., 1st Sess. 57 (1983).

B. The Ninth Circuit's Decision Conflicts With This Court's Decision In *Gwaltney* By Providing A Remedy For Harms Wholly Past

The Ninth Circuit's conclusion that the RCRA citizen suit provision can be used to address violations that have been remedied three years prior to commencement of suit directly conflicts with this Court's opinion in *Gwaltney of Smithfield, Ltd. v. Chesapeake Bay Foundation, Inc.*, 484 U.S. 49 (1987). In *Gwaltney*, respondent argued that an action should lie for wholly past violations of the FWPCA despite the statutory language that allowed suit only against parties alleged "to be in violation" of the Act. This Court, noting the statute's use of the present tense, disagreed and concluded that the FWPCA citizen suit provision did not apply to harms wholly past. *Gwaltney*, 484 U.S. at 57-59. Here, the Ninth Circuit concluded that an action should lie for wholly past endangerment despite the statutory language that allows suit only for conditions "*which may present* an imminent and substantial endangerment." 42 U.S.C. § 6972(a)(1)(B) (emphasis added).

In holding that the citizen suit provision of the FWPCA reached only ongoing and not wholly past violations, this Court also focused on the notice provision in that Act which is virtually identical to the RCRA notice provision:

"Any other conclusion would render incomprehensible [the Act's] notice provision, which requires citizens to give 60 days' notice of their intent to sue to the alleged violators as well as to the Administrator and the State. If the Administrator or the State commences enforcement action within that 60-day period, the citizen suit is barred, presumably because governmental action has rendered it unnecessary. It follows logically that the purpose of notice to the alleged violator is to give it an opportunity to bring itself into complete compliance with the Act and thus

likewise render unnecessary a citizen suit. *If we assume, as respondents urge, that citizen suits may target wholly past violations, the requirement of notice to the alleged violators becomes gratuitous.* *Id.*, 484 U.S. at 59-60 (Emphasis added.)

Finally, the FWPCA provision examined in *Gwaltney*, bars citizen suits in circumstances where the government is addressing the harm at issue. RCRA bars citizen suits under those same circumstances. This Court in *Gwaltney* further addressed the import of the citizen suit bar in rejecting the argument that wholly past harms could be reached by the FWPCA citizen suit provision:

"Adopting respondents' interpretation [that the citizen suit provision reaches harms wholly past] . . . would create a second and even more disturbing anomaly. The bar on citizen suits when governmental enforcement action is under way suggests that the citizen suit is meant to supplement rather than to supplant governmental action. . . . *Permitting citizen suits for wholly past violations of the Act could undermine the supplementary role envisioned for the citizen suit.*"

Id. at 60 (emphasis added).

This Court determined in *Gwaltney* that citizen suit provisions in federal environmental statutes allow ongoing harms to be enjoined, but do not provide a remedy for harms wholly past. Under this Court's opinion in *Gwaltney*, the "most natural reading" of the phrase "may present an imminent and substantial endangerment" in RCRA is that the citizen-plaintiff must allege an ongoing state of endangerment. Congress could have phrased its requirement in language that looked to the past ("may have presented"), but it did not choose this "readily available option." *See, Gwaltney*, 484 U.S. at 57. The Ninth Circuit's conclusion that Respondents could bring suit under RCRA for a harm that had been fully eliminated over three years before Respondent commenced this

suit directly conflicts with this Court's determination in *Gwaltney*.¹⁰

C. The Ninth Circuit's Interpretation Of 42 U.S.C. § 6972(a)(1)(B) Will Likely Also Conflict With The Impending Eighth Circuit Decision In *Furrer v. Brown*

A case which presents the same issues decided by the Ninth Circuit herein is now before the Eighth Circuit Court of Appeal. *Furrer v. Brown*, No. 94-3281 EMSL. The *Furrer* case was argued on April 12, 1995. Counsel for one of the defendants in that case indicates that argument before the Eighth Circuit panel focused primarily on the then recently issued opinion of the Ninth Circuit herein. Counsel also indicates that the Eighth Circuit panel questioned whether a cost reimbursement action was available to citizen plaintiffs under RCRA and in particular questioned the substantial reliance of the Ninth Circuit on a prior decision issued by the Eighth Circuit Court of Appeal, *United States v. Aceto Agric. Chem. Corp.*, 872 F.2d 1373 (8th Cir. 1989). It appeared to counsel that the Eighth Circuit may reach a result opposite to that of the Ninth Circuit.

Counsel in *Furrer v. Brown* also advises that the Eighth Circuit has already issued opinions in other cases that were argued on April 12, 1995 and that a decision in *Furrer v. Brown* thus appears imminent. If *Furrer v. Brown* is decided during the pendency of this Petition, Petitioners anticipate filing a short supplemental paper addressing the decision.

¹⁰ The "contributed/contributing" language and the "past and present handling" language of § 6972 make it clear that an action will lie for *conduct* that is either ongoing or wholly past. However, the "may present an imminent and substantial endangerment" language also makes it clear that an action will lie only if the *endangerment* is ongoing and not wholly past. In this case, the conduct in question is wholly past and the endangerment at issue is wholly past, having been cleaned up more than three years before suit was filed.

II. The Questions Presented Here Are Important Ones

No other reported decision in the 20 years since RCRA was enacted in 1976, or in the 11 years since RCRA was amended to add a cause of action for abatement of an imminent and substantial endangerment, has authorized a private party to sue for cost recovery under RCRA. Before the Ninth Circuit handed down its opinion herein, the remedies available to a private party seeking cost reimbursement for property contamination were well established. An aggrieved party had a full array of state common law and state statutory causes of action available to it.¹¹ In many instances, an aggrieved party could also sue in federal court for cost recovery under CERCLA. 42 U.S.C. § 9607(a). This has been the state of the law over the course of the lengthy development of property contamination litigation.

The Ninth Circuit's majority opinion swings open the doors of the federal courthouses to a plethora of new cost recovery suits. The threshold has apparently already been crossed by several current litigants. Counsel for Petitioners has received inquiries from counsel from all over the United States about the Ninth Circuit's decision. These counsel have repeatedly indicated that private party plaintiffs in ongoing litigation in which they were involved have recently amended their property contamination complaints to now add a cause of action under RCRA.

In addition, an authoritative trade publication has recently discussed this very trend under the headline *Court Ruling On Cost Recovery Under RCRA Spawns Raft of New Lawsuits*. Inside EPA Weekly Report, May 12, 1995 at 1-2. The article states that:

¹¹ The dispute between KFC and the Meghrips serves as a good example of the availability of that array of remedies, since plaintiff pled causes of action in state court for: (1) statutory cost recovery, (2) tortious breach of statutory duty, (3) private nuisance, (4) public nuisance, (5) equitable indemnity, (6) unjust enrichment, (7) ultrahazardous activity, (8) negligence, and (9) unfair business practices. *KFC Western v. Meghrip*, 23 Cal.App.4th 1167, 28 Cal.Rptr.2d 676 (1994).

The [Court of Appeals] decision has spurred a wave of new lawsuits and amendments to ongoing suits... One industry source says there are "dozens, and should be hundreds soon" of new cases in the Ninth Circuit, adding that the appeals court decision is "opening vast new vistas" of potential litigation, and "in another month or so, people will be giving seminars" on the new approach.

Because Congress never envisioned the RCRA citizen suit provision as a cost recovery mechanism, there is no express limitations period in the statute. As a result of the Ninth Circuit's decision, these private parties can now sue years and years after contamination has been discovered, and even years after it has been cleaned up. One area of environmental litigation that will be overwhelmingly impacted is cost recovery suits over gasoline leaks from underground storage tanks. Such suits were previously barred from the federal courts in most instances by the petroleum exclusion in CERCLA and were subject to state statutes of limitations. Now, however, such suits may be filed in federal court under RCRA with no express statute of limitations to be applied. Virtually every citizen plaintiff with a gasoline tank leak claim can now proceed to federal court, including those who have already been barred from proceeding in state court by state statutes of limitations.

The questions presented here are also important because the Ninth Circuit's decision effectively nullifies a set of congressionally mandated limitations on private party cost recovery actions embodied in the primary federal property contamination statute, CERCLA. CERCLA applies only to hazardous substances. A RCRA remedy would apply to *any solid waste* problem -- a much broader universe. As just noted, CERCLA excludes petroleum product from its list of hazardous substances. *Wilshire Westwood Assocs. v. Atlantic Richfield Corp.*, 881 F.2d 801 (9th Cir. 1989). Responsibility for petroleum contaminated property is in the hands of state enforcement agencies and state courts. The Ninth Circuit's decision would nullify this important aspect of the CERCLA petroleum exclusion -- it would allow petroleum cost recovery cases to be brought in federal court even though Congress and the courts

have determined otherwise under CERCLA.

In addition, CERCLA provides a mechanism for determining which costs expended by a plaintiff are recoverable. Only costs that are "necessary and consistent with the National Contingency Plan" are recoverable. 42 U.S.C. § 9607(a). The National Contingency Plan contains regulations on "hazardous substance response" that cover 29 pages in the Code of Federal Regulations. 40 C.F.R. §§ 300.400 - 300.440. Since Congress never envisioned response costs as being recoverable under RCRA, it is not surprising that RCRA, unlike CERCLA, provides no guidance on what types of response costs are recoverable under its citizen suit provision. Under the Ninth Circuit's holding, the courts will have to engage in extensive interstitial lawmaking to define which costs are recoverable in this highly technical area.

Finally, a statute of limitations has been specifically provided for CERCLA cost recovery actions. 42 U.S.C. § 9613(g). Again, because Congress never envisioned RCRA as a cost recovery mechanism, there is no express statute of limitations for RCRA citizen suit cost recovery actions. To simply assert, as the Ninth Circuit majority does (App. at A9), that the indefinite doctrine of *laches* may substitute for a definite statute of limitations is anomalous, to say the least, particularly in a context where, when Congress **did** expressly provide for cleanup cost recovery in CERCLA, Congress believed it important that the specificity of a fixed statute of limitations accompany such a remedy.

To create by judicial fiat a remedy for cost recovery under RCRA, unaccompanied by the protection of a fixed statute of limitations, runs very much against the scheme Congress intended to establish. This Court has held that the citizen suit is meant to supplement, not supplant, governmental action. *Gwaltney*, 484 U.S. at 60. However, by allowing a private plaintiff to recover its costs for cleaning up contamination under the RCRA citizen suit provision, the Ninth Circuit would wholly supplant governmental action in this sphere. In turn, an outcome that Congress steadfastly sought to avoid would surely follow: the overburdening of the federal courts with lawsuits seeking recovery of costs previously

expended to clean up waste problems -- solid and hazardous wastes -- of all types and sizes, without regard for whether the underlying danger is imminent or non-existent, and without any statutory limitations period, but only *laches* as a time constraint. App. at A9.

III. The Ninth Circuit Erred In Interpreting The Statute To Allow Private Parties To Sue For Monetary Relief

We have already detailed above the ways in which the Ninth Circuit's decision directly conflicts with this Court's decisions in *Sea Clammers* and *Gwaltney*. But there should be no doubt that, in other respects as well, the Ninth Circuit majority's ruling is seriously flawed analytically.

A. Under General Principles Of Statutory Interpretation, Neither The Plain Language Nor The Legislative History Of The RCRA Citizen Suit Provision Authorizes A Suit For Monetary Damages Or "Restitution"

As noted earlier, the plain language of the citizen suit provision of RCRA grants private parties the right to sue for prohibitory and mandatory injunctions. The legislative history of RCRA further demonstrates that Congress did not intend the RCRA citizen suit provision to include monetary relief. Most notably, in 1984, Congress amended the RCRA citizen suit provision to allow citizens to seek injunctions requiring responsible persons to abate "imminent and substantial endangerments" caused by the handling of solid or hazardous waste. The legislative history of the 1984 amendments stated that citizens would have "a limited right under Section 7002 [42 U.S.C. § 6972] to sue to *abate* an imminent and substantial endangerment." H.R. Rep. No. 198, 98th Cong., 2d Sess. (1984), *reprinted in* 1984 U.S.C.C.A.N. 5576, 5612 (emphasis added.) It also explains the primary goal of § 6972(a)(1)(B) as "the *prompt abatement* of imminent and substantial endangerments." *Id.* (emphasis added.) Under basic principles of statutory interpretation, the Ninth Circuit has misanalyzed both the express terms of the statute and their legislative history.

B. The Ninth Circuit Improperly Implied A Damages Right Of Action For Citizen Plaintiffs

It is clear that the RCRA citizen suit provision does not expressly provide a money damages remedy. What the Court of Appeals has now created, then, is an implied right of action under the RCRA citizen suit provision.¹²

In *Cort v. Ash*, 422 U.S. 66, 78 (1975), this Court listed four factors which guide the process of determining whether implying a claim is consistent with Congressional intent.¹³ The first consideration under *Cort* is whether the plaintiffs are members of a class for "whose especial benefit the statute was enacted." *California v. Sierra Club*, 451 U.S. 287, 293 (1981) (quoting *Cort*, 422 U.S. at 78, 80-82). RCRA is a statute designed to benefit the public at large by ensuring environmental safety, rather than

¹² The Court of Appeals did not label its construction an "implied right of action." The Court of Appeals instead interpreted the language of RCRA which provides for mandatory injunctive relief ("to order such person to take such other action as may be necessary") to allow a district court to order a defendant to pay over to a plaintiff in restitution that amount of money that the plaintiff had expended on its cleanup.

¹³ "First, is the plaintiff one of the class for whose especial benefit the statute was enacted, that is, does the statute create a federal right in favor of the plaintiff? Second, is there any indication of such a remedy or to deny one? Third, is it consistent with the underlying purposes of the legislative scheme to imply such a remedy for the plaintiff? And finally, is the cause of action one traditionally relegated to state law, in an area basically the concern of the States, so that it would be inappropriate to infer a cause of action based solely on federal law?"

Cort, 422 U.S. at 95 (Emphasis Added).

The *Cort* factors are not of equal weight; the dispositive question is one of legislative intent. *Transamerica Mortgage Advisors, Inc. v. Lewis*, 444 U.S. 11, 23-24 (1979); *Touche Ross & Co. v. Redington*, 442 U.S. 560, 575-576 (1979).

focusing on any particular class or group. *City of Chicago v. Environmental Defense Fund*, ___ U.S. ___, 114 S.Ct. 1588, 1590 (1993); accord *California v. Sierra Club*, 451 U.S. 287, 295. KFC does not belong to a special class to which Congress intended to give special protections under RCRA, and this requisite for an implied right of action is not met.

The second consideration under *Cort* is whether there is any indication of legislative intent, explicit or implicit, to create a federal cause of action for private party recovery of cleanup costs. As noted elsewhere in this Petition, nothing in the RCRA legislative history in any way suggests that Congress intended to grant jurisdiction to district courts to adjudicate claims for recovery of cleanup costs under RCRA's citizen suit provision.

The third consideration under *Cort* is whether implying a cause of action for recovery of cleanup costs by a private plaintiff is consistent with the underlying purpose of RCRA. As this Court noted in *Sea Clammers*, a comprehensive and elaborate enforcement scheme, expressly created by Congress within a federal statute, reveals Congress' intent that the enforcement scheme it wrote was complete and exclusive. See *Sea Clammers*, 453 U.S. at 14. Like the FWPCA reviewed in *Sea Clammers*, RCRA contains a comprehensive and elaborate remedial scheme. The comprehensive character of RCRA's remedial scheme reflects Congress' intent not to authorize additional remedies. See *Sea Clammers*, 453 U.S. at 14.

The fourth consideration under *Cort* is whether the cause of action is one that is traditionally relegated to the states, such that it would be inappropriate to infer a cause of action based solely on federal law. Causes of action for recovery of cleanup costs or restitution have been developed by common law courts and by courts of equity for several centuries. See G. Palmer, *The Law of Restitution* §§ 1.1-1.8 (1978); D. Dobbs *Remedies* §§ 4.2-4.3 (1973). Common law courts of general jurisdiction, such as those of the states, have power to develop and elaborate further a cause of action for restitution, as well as the defenses to such a cause of

action, by applying general rules of decision to the facts of the cases before them. This task is uniquely suited to the state courts. Moreover, the law governing the duties of a property owner to a successor in title is also a matter historically determined by state law.

In sum, there is no justification for implying a damages right of action under RCRA when measured by the standards set forth in this Court's decision in *Cort v. Ash*.

C. The Relief That The Majority Opinion Would Provide Runs Counter To The Very Purpose of Citizen Suit Provisions

The entire concept of a citizen-plaintiff acting as a private attorney general clashes with the notion of such a plaintiff being able to receive monetary relief. As the District Court stated: "where the relief sought is to benefit the plaintiff rather than act for the public, the action is not within the scope or the purpose" of the citizen suit provision. App. A22 to A23. The earlier review in this Petition of the history of environmental citizen suit provisions reveals the essential purposes and limitations of these provisions. As an advocate of citizen suits recently noted:

"A citizen suit is not a private tort remedy because citizens can only obtain an injunction and/or civil penalties payable to the U.S. Treasury, not damages for their own injuries. It is not a *qui tam* action because citizens do not recover a share of the penalties obtained."

Hecker, *The Citizen's Role in Environmental Enforcement*, Nat. Res. & Env. (Spring 1994) at 31.

D. The Ninth Circuit Erred In Interpreting The Statute To Authorize Relief For Harms Wholly Past

The RCRA citizen suit provision provides for relief as

against any person:

"who has contributed or who is contributing to the past or present handling . . . of any solid or hazardous waste *that may present* an imminent and substantial endangerment to human health or the environment."

42 U.S.C. § 6972(a)(1)(B) (emphasis added).

The statute clearly requires that the endangerment be *imminent*, even if the acts which caused it occurred in the past.

Other subsections of RCRA conclusively demonstrate that the imminent danger at issue must be ongoing at the time suit is filed. First, the notice requirement contained in the RCRA citizen suit provision requires the citizen-plaintiff to provide notice of intent to file suit to: the defendant(s), the Administrator of EPA and the appropriate state 90 days prior to filing. 42 U.S.C. § 6972(b)(2)(A). Such a provision is gratuitous if citizen suits are permitted to target wholly past violations. *Gwaltney, supra*, at 59-60.

In addition, RCRA completely bars a citizen suit where the EPA has taken action following receipt of the required 90 day notice. To allow citizen suits for past violations where the statute provides a complete bar to citizen suits in this type of situation would undermine the supplementary nature of the citizen suit. *Gwaltney* at 60.¹⁴ The Court of Appeals majority's reasoning totally undermines the supplemental nature of the RCRA citizen suit. Citizen-plaintiffs can simply clean up a solid waste problem without prior notice to any governmental entity or potential defendant. Then, as occurred in this case, the citizen-plaintiff can provide the requisite notices years after the cleanup had been completed and proceed to file suit 90 days later. Whatever

¹⁴ The Court of Appeals did not address this portion of *Gwaltney*, although the dissent did and found it persuasive in urging affirmance of the lower court's decision.

governmental role Congress had envisioned is surely supplanted under this scenario.

CONCLUSION

The Ninth Circuit majority has implied a damages remedy for citizen-plaintiffs under RCRA where none was provided for in the statute, where Congress evinced no intent to so provide and where the effect is to render supporting provisions of the statute meaningless. That is contrary to the prior clear pronouncements of this Court in *Sea Clammers* and *Gwaltney* and likely conflicts with an impending decision of the Eighth Circuit as well. The flood of new federal court litigation which has already been spawned by the Ninth Circuit's decision can be expected to increase exponentially. For these and all of the other reasons set forth in this Petition, we respectfully petition this Court to issue a writ of certiorari to review the decision of the Ninth Circuit below.

Dated: July 13, 1995.

Respectfully submitted,

JOHN P. ZAIMES
Counsel of Record

CLIFTON J. MCFARLAND
McCLINTOCK, WESTON,
BENSHOOF, ROCHEFORT,
RUBALCAVA & MacCUISH
444 South Flower Street, 43rd Floor
Los Angeles, California 90071
(213) 623-2322
Counsel for Petitioners

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APPENDIX A

UNITED STATES COURT OF APPEALS
FOR THE NINTH CIRCUIT

Argued: April 5, 1994

Decided: March 1, 1995

Docket No. 92-56597

KFC WESTERN, INC.,

Plaintiff-Appellant,

-against-

ALAN MEGHRIG and MARGARET MEGHRIG,

Defendants-Appellees.

Before: BROWNING, PREGERSON and BRUNETTI,
Circuit Judges.

PREGERSON, Circuit Judge:

KFC Western, Inc. ("KFC") appeals the district court's dismissal of its action under the Resource Conservation and Recovery Act ("RCRA") to recover environmental clean-up costs from the prior owners of contaminated property sold to KFC. The district court dismissed KFC's action under Federal Rule of Civil

Procedure 12(b)(6) because it concluded that RCRA § 7002, codified at 42 U.S.C. § 6972(a)(1)(B), does not authorize private plaintiffs to collect a restitutionary remedy. We have jurisdiction under 28 U.S.C. § 1291. We reverse and remand.

BACKGROUND

In September 1975, Alan and Margaret Meghrig (the "Meghrigs") sold real property to KFC, which continues to own and operate a Kentucky Fried Chicken franchise on the property. Unbeknown to KFC, underground soil at the property was contaminated with elevated levels of refined petroleum products (lead and benzene) at the time of the sale. The contamination allegedly resulted from the Meghrigs' negligence in operating a gasoline station on the property. The Meghrigs never informed KFC about the contamination.

In October 1988, in the course of improving the property, KFC discovered the contaminated soil. The City of Los Angeles Department of Building and Safety issued a corrective notice ordering KFC to stop all construction on the property pending analysis of the soil and clearance from the County of Los Angeles Department of Health Services (the "DHS"). Analysts confirmed the presence of elevated levels of refined petroleum in the soil. Although KFC neither caused the contamination nor owned the property when the contamination occurred, the DHS ordered KFC to clean up the property. KFC spent over \$211,000.00 to assess and remove the contaminated soil for off-site disposal. KFC completed the clean-up in 1989 and, in June 1990, asked the Meghrigs to reimburse the costs. The Meghrigs refused.

On May 29, 1992, KFC filed a complaint in district court against the Meghrigs under RCRA § 7002, codified at 42 U.S.C. § 6972(a)(1)(B), for restitution of the expended clean-up costs. The Meghrigs filed a Federal Rule of Civil Procedure 12(b)(6) motion to dismiss the complaint, offering two reasons why KFC's action did not come within the RCRA citizen suit provision: (1) there was no "imminent and substantial endangerment" because KFC had completed the clean-up three years before filing, and (2) RCRA

authorized suits for injunctive relief only, not for damages. The district court granted the Meghrigs' motion and granted KFC leave to amend its complaint.

KFC filed an amended complaint which alleged that the contaminated soil, at the time of clean-up, presented an "imminent and substantial endangerment" to public health and the environment by threatening surrounding groundwater and potentially risking the health of people expected to use the property and the KFC franchise. RCRA § 7002, codified at U.S.C. § 6972(a)(1)(B). Also, KFC stated that its damages claim was actually a claim for "equitable restitution." Upon the Meghrigs' renewed motion, the district court dismissed the amended complaint. In its dismissal order, the district court stated that 42 U.S.C. § 6972(a)(1)(B) authorizes only injunctive or other equitable relief and only in cases involving an existing, imminent danger to public health or the environment. KFC appeals.

ANALYSIS

We review *de novo* a dismissal for failure to state a claim pursuant to Federal Rule of Civil Procedure 12(b)(6). *Oscar v. University Students Co-op. Ass'n*, 965 F.2d 783, 785 (9th Cir.) (*en banc*), *cert. denied*, ___ U.S. ___, 113 S.Ct. 655, 656, 121 L.Ed.2d 581 (1992). In reviewing such a dismissal, our review is limited to the contents of the complaint, *Buckey v. County of Los Angeles*, 968 F.2d 791, 794 (9th Cir.), *cert. denied*, ___ U.S. ___, 113 S.Ct. 599, 121 L.Ed.2d 536 (1992), and we must take as true all allegations of material fact and construe them in the light most favorable to the plaintiff, *Oscar*, 965 F.2d at 785.

This appeal presents us with a question of first impression -- whether the RCRA citizen suit provision authorizes a private plaintiff to collect restitution of clean-up costs. The RCRA citizen suit provision provides:

[A]ny person may commence a civil action on his own behalf ... against any person . . . including any

... past or present owner or operator of a treatment, storage, or disposal facility, who has contributed or who is contributing to the past or present handling, storage, treatment, transportation, or disposal of any solid or hazardous waste which *may present an imminent and substantial endangerment* to health or the environment[.]

The district court shall have jurisdiction ... to *restrain* any person who *has contributed* or who is contributing to the past or present handling, storage, treatment, transportation, or disposal of any solid or hazardous waste referred to in [§ 6972(a)(1)(B) (the endangerment provision)] [and] to *order such a person to take such other action as may be necessary*, or both....

RCRA § 7002, codified at 42 U.S.C.A. § 6972(a)(1)(B) and § 6972(a) (West 1984 & Supp.1993) (emphasis added).

The parties dispute initially whether, for purposes of § 6972(a)(1)(B), "imminent and substantial endangerment" must exist at the time the plaintiff files a complaint or may exist at the time of clean-up. The Meghrips urge us to adopt the district court's reasoning that § 6972(a)(1)(B) authorizes citizen suits only if contamination poses an imminent and substantial endangerment at the time the plaintiff files the complaint. Because KFC completed the clean-up of the property three years before commencing this lawsuit, the Meghrips argue that KFC has no remedy under RCRA. The result urged by the Meghrips is supported by certain comments in the legislative history that explain the meaning of the term "imminence." "Imminence in this section applies to the nature of the threat.... The section, therefore, may be used for events which took place at some time in the past but *which continue to present a threat* to the public health or the environment." Staff of House Subcommittee on Oversight and Investigation, Committee on Interstate and Foreign Commerce, 96th Cong., 1st Sess., Hazardous

Waste Disposal 32 (Comm. Print 96-IFC 31, 1979) ("Eckhardt Report") (emphasis added). See *Dague v. City of Burlington*, 935 F.2d 1343, 1356 (2d Cir.1991) (finding an "imminent hazard" requires proof that a risk of harm is present), *rev'd in part on other grounds*, ___ U.S. ___, 112 S.Ct. 2638, 120 L.Ed.2d 449 (1992); *United States v. Price*, 688 F.2d 204, 214 (3d Cir.1982) (noting that imminent danger existed at the time of the district court's hearing).¹

Nonetheless, we agree with KFC that RCRA authorizes citizen suits with respect to contamination that in the past posed imminent and substantial danger. We choose to follow the Eighth Circuit's interpretation of RCRA § 7003, codified at 42 U.S.C. § 6973, which authorizes suits by the Administrator of the Environmental Protection Agency ("EPA"), and which is worded virtually identically to § 6972(a)(1)(B).² The Eighth Circuit reads

¹ The Meghrips also cite *Gwaltney of Smithfield, Ltd. v. Chesapeake Bay Found.*, 484 U.S. 49, 108 S.Ct. 376, 98 L.Ed.2d 306 (1987) (Clean Water Act case) and *McClellan Ecological Seepage Situation v. Weinberger*, 707 F.Supp. 1182, 1187 (E.D.Cal.1988) (dismissing for mootness a RCRA action under § 6972(a)(1)(A)), which are inapposite. Both cases explain only that citizen suit provisions not at issue here do not apply retroactively to allow an action against a defendant who violated a statutory obligation in the past, if the defendant no longer allegedly is "in violation." In contrast, § 6972(a)(1)(B) applies both prospectively and retrospectively, to persons who contributed in the past to current endangerment. See *Ascon Properties, Inc. v. Mobil Oil Co.*, 866 F.2d 1149, 1159 (9th Cir.1989) (citing *Gwaltney*, 484 U.S. at 57 & 58 n. 2, 108 S.Ct. at 381 & 382 n. 2, wherein the Supreme Court described the section as one where "Congress has demonstrated . . . that it knows how to avoid [limiting a statute to prospective application] by using language that expressly targets past violations").

² Specifically, § 6973 provides:
[U]pon receipt of evidence that the past or present handling, storage, treatment, transportation or disposal of any solid waste or hazardous waste *may present an imminent and substantial endangerment* to health or the environment, the Administrator may bring suit ... against any person . . . who has contributed or who is contributing to such handling, storage, treatment,

(continued...)

the imminent endangerment requirement as "limit[ing] the reach of RCRA to sites where the potential for harm is great" but not as limiting the time for filing an action. *United States v. Aceto Agric. Chemicals Corp.*, 872 F.2d 1373, 1383 (8th Cir.1989).

In *Aceto Agric. Chemicals Corp.*, the Eighth Circuit, when it reversed a Federal Rule of Civil Procedure 12(b)(6) dismissal order, addressed and rejected the same arguments that the Meghriks make here. The defendants in the Eighth Circuit case argued that because the plaintiff (EPA) cleaned up the site before bringing suit, the required "imminent and substantial endangerment" did not exist. The court concluded that the language of RCRA "does not require the EPA to file and prosecute its RCRA action while the endangerment exists." *Id.* The court explained that RCRA's purpose "is to 'give broad authority to the courts to grant all relief necessary to ensure complete protection of the public health and the environment. The limitation urged by defendants would defeat this purpose,'" would be an "absurd and unnecessary" requirement. *Id.* (citations to quoted material omitted).

We also agree with KFC that RCRA authorizes a restitutionary remedy under these circumstances. KFC's action to collect restitution of clean-up costs falls within the statutory allowance for district court orders that defendants take "such other action as may be necessary...." 42 U.S.C. § 6972(a) ("The district court shall have jurisdiction . . . to restrain any person who has contributed or who is contributing to [an imminent and substantial endangerment], to *order such person to take such other action as may be necessary*, or both....") (Emphasis added). We reject the Meghriks' contention that the statute entitles citizens to obtain only an injunction or other equitable relief that is not the equivalent of compensatory money damages.

²(...continued)

transportation or disposal to *restrain* such person from [such activity], to *order such person to take such other action as may be necessary*, or both....

42 U.S.C.A. § 6973 (West 1984 & Supp.1993) (emphasis added).

Because Congress intended that citizen suits be governed by the same standards of liability as governmental actions,³ and because it worded the provisions almost identically, we choose to interpret similarly the relief available under the two provisions. The Eighth Circuit has recognized the Administrator's right to sue under § 6973 for restitution of costs incurred. *See, e.g., Aceto Agric. Chemicals Corp.*, 872 F.2d at 1383 (Administrator may collect reimbursement after government cleaned up contaminated property); *United States v. Northeastern Pharmaceutical & Chem. Co.*, 810 F.2d 726 (8th Cir.1986) (Administrator may collect an equitable award of abatement costs from persons who non-negligently contributed to endangerment), *cert. denied*, 484 U.S. 848, 108 S.Ct. 146, 98 L.Ed.2d 102 (1987). The Third Circuit also has stated that "[r]eimbursement could ... be directed against those parties ultimately found to be liable" after the EPA itself funded a diagnostic study of contaminated property. *Price*, 688 F.2d at 214 (holding that district court could have granted the Administrator a preliminary injunction to obtain funding for diagnostic study).

³ H.R.Rep. No. 198, 98th Cong., 2d Sess., pt. 1, 53 (1983), *reprinted in* 1984 U.S.C.C.A.N. 5576, 5612. The legislative history for the 1984 RCRA Amendments suggests that when Congress added the endangerment provision it did not intend to grant a narrower right of action to citizens than to the Administrator, who is authorized (according to persuasive out-of-circuit case law, discussed *infra*) to bring reimbursement actions. Nothing indicates that Congress intended citizen suits to serve a purpose different from that served by governmental actions. The House Committee on Energy and Commerce explained in its report that citizens have a limited right to sue in endangerment cases "pursuant to the standards of liability established under Section 7003 [42 U.S.C. § 6973, Administrator's right of action]" and only if the Administrator, after receiving notice, fails to file an action. *Id.* "The committee believes [the] expansion of the citizen suit provision will complement ... the Administrator's efforts to eliminate threats as to public health and the environment, particularly where the Government is unable to take action because of inadequate resources." *Id.*

Still, the legislative history cuts both ways because other language supports the Meghriks' contention that Congress intended to allow citizens to sue only for injunctions when it added the endangerment provision. The House Committee stated that citizens have a "limited right . . . to sue to abate an imminent and substantial endangerment." *Id.* (emphasis added).

We are not persuaded by the Meghrips' contention that material differences exist between the substantially identical citizen suit provisions in § 6972(a)(1)(B) and § 6973, so as to justify affording restitutionary relief only to the Administrator. The Meghrips focus first on the different notice requirements for filing actions.⁴ The Administrator may bring an action "upon receipt of evidence" of the requisite endangerment, and the statute does not preclude actions filed by the Administrator without notice. See 42 U.S.C. § 6973(a). On the other hand, a private plaintiff cannot commence an action without giving ninety days' notice to the Administrator, the State, and to any alleged contributor to the endangerment. See 42 U.S.C. § 6972(b)(2)(A); *Ascon Properties, Inc. v. Mobil Oil Co.*, 866 F.2d 1149, 1159 (9th Cir.1989). Notice by a private plaintiff might encourage certain polluters to abate harmful conduct to obviate an expensive law suit. Still, there is no inconsistency between a notice requirement and the recovery of clean-up costs from past polluters.⁵ Requiring notice of a citizen suit restitution action still serves certain interests of the EPA and the states by notifying them that endangerment was corrected and that the polluters are being held accountable. Furthermore, even the Administrator must provide immediate notice of hazardous waste endangerment to the appropriate local governmental agencies, see 42 U.S.C. § 6973(c), and no courts have treated this notice requirement as a basis for refusing to allow governmental restitution

⁴ Compliance with the citizen suit notice requirement, *infra*, is not an issue on appeal.

⁵ Section 6972(a)(1)(B) permits private actions against persons who in the past contributed to current endangerment, even though they no longer engage in conduct that requires abatement. Because § 6972(a)(1)(B) applies retroactively in some cases, we do not import into our analysis the Supreme Court's discussion in *Gwaltney* on the significance of a notice requirement. 484 U.S. at 60-61, 108 S.Ct. at 383 (rejecting a statutory interpretation that would render notice gratuitous because one purpose of notice is to give an alleged violator an opportunity to bring itself into compliance with federal requirements and thereby render unnecessary a citizen suit). As explained *supra* in note 1, the *Gwaltney* case concerned a different statute which only applies to persons alleged to be currently in violation of federal obligations.

actions.

The Meghrips also argue that the lack of a limitations period for RCRA citizen suits is evidence of the unavailability of reimbursement actions under RCRA. They argue that it would be problematic for us to conclude that private citizens can file suit many years after they complete clean-up of once-imminent endangerment. Congress provided a limitations period in other statutes, such as the Comprehensive Environmental Response, Compensation, and Liability Act ("CERCLA"), when it expressly authorized actions to recover response costs, 42 U.S.C. § 9612(d)(1) (West 1986 & Supp.1993) (claim to recover clean-up costs must be made within six years after the completion of all response action). Instead, in RCRA, Congress provided that private plaintiffs retain the right "to seek any other relief" available "under any statute or common law...." See 42 U.S.C. § 6972(f). We do not see this as a problem. By applying equitable defenses such as laches, courts can alleviate any unfairness that might be created by the lack of a limitations period for RCRA citizen suits.

We have found no principled reason to distinguish between the relief available to the Administrator and that available to private plaintiffs under the virtually identical statutory provisions. Nor are we persuaded by the case law cited by the Meghrips. Some circuit courts have held that citizens cannot bring reimbursement actions because RCRA authorizes only preventive, rather than compensatory relief. See *Walls v. Waste Resource Corp.*, 761 F.2d 311, 316 (6th Cir.1985) (refusing to imply a private right of action for damages); *Environmental Defense Fund, Inc. v. Lamphier*, 714 F.2d 331, 337 (4th Cir.1983) (affirming award of injunctive relief because plaintiffs were "acting as private attorneys general rather than pursuing a private remedy [for damages]"). These decisions are inapposite because they do not address private actions like KFC's action, brought under § 6972(a)(1)(B). Rather, they concern actions brought under the predecessor to § 6972(a)(1)(A), formerly 42 U.S.C. § 6972(a), which authorized actions to "enforce" a requirement against any person alleged to be currently "in violation" of the requirement. Cf. § 6972(a)(1)(B) (allowing actions against

any contributor, past or present, to an imminent and substantial endangerment).

Furthermore, we disapprove of the reasoning used by district courts that have dismissed complaints brought under § 6972(a)(1)(B) to the extent the plaintiffs sought reimbursement of clean-up costs. See *Kaufman and Broad-South Bay v. Unisys Corp.*, 822 F.Supp. 1468 (N.D.Cal.1993) (refusing to follow cases interpreting § 6973 to afford a restitution remedy to the Administrator, and relying on *Walls*, and *Commerce Holding Co. v. Buckstone*, 749 F.Supp. 441 (E.D.N.Y.1990)); *Commerce Holding Co.*, 749 F.Supp. at 445 (Although plaintiff characterized complaint as a request for "equitable relief in the form of [clean-up cost] reimbursement," court construed it as one for damages, stating that the complaint failed even if treated as a request for equitable relief because the plaintiff "would be the direct beneficiary of the substantive relief."). Because we choose to follow the Eighth Circuit's rule that the Administrator may sue for equitable restitution of costs, we now allow such suits by private plaintiffs under § 6972(a)(1)(B).

It would be unfair and poor public policy to interpret § 6972(a)(1)(B) as barring restitution actions. By doing so, we would make the citizen suit remedy meaningless in most cases for the very citizens who most deserve the remedy, namely innocent citizens, like KFC, who have a financial stake in the contaminated property as well as potential and actual clean-up liability. As in this case, the government often orders innocent parties, so-called "responsible parties" under the statute, to remedy discovered contamination on their property even though they did not cause the contamination or have any ties to the property when the contamination occurred. When the government orders cleanup, the innocent citizen must respond expeditiously to the order. There is no time to sue for "other equitable relief" in the form of a mandatory clean-up injunction against past polluters who may or may not still be on the scene.

CERCLA and state law do not provide an adequate

substitute source of relief for these innocent citizens.⁶ In practice, an interpretation of § 6972(a)(1)(B) that afforded only injunctive relief, not compensation, would make the remedy available only to concerned outsiders, who can never be held responsible for environmental clean-up. We would foreclose a RCRA remedy for the innocent buyers who clean up contaminated property.

In fact, it is even more important for private citizens, as compared to the EPA Administrator, to have a restitutionary remedy under RCRA. A private citizen often cannot control the timing of clean-up actions but, rather, must clean the contaminated property whenever the government obtains an appropriate order. Even the innocent private party, like KFC, who purchases already-contaminated property, often must clean the property immediately and recover secondarily from the actual polluter. The Administrator, on the other hand, can control the timing of clean-up actions and impose the clean-up burden on the polluters or other "responsible parties" in the first instance. The right to reimbursement becomes important to the Administrator only when contamination requires prompt attention, which is always the case for private citizens who are ordered to remedy contamination. As the Third Circuit has recognized, public-policy concerns might

⁶ KFC has no remedy under CERCLA because CERCLA's petroleum exclusion covers refined petroleum products such as gasoline and therefore bars a lawsuit to recover response costs occasioned by its release; See *Cose v. Getty Oil Co.*, 4 F.3d 700, 704 (9th Cir.1993) (CERCLA excludes refined petroleum from its definition of "hazardous substance"); *Wilshire Westwood Assocs. v. Atlantic Richfield Corp.*, 881 F.2d 801, 810 (9th Cir.1989) (same). Due to a similar petroleum exclusion in California's Hazardous Substance Account Act, KFC also has no statutory state law remedy. *KFC Western, Inc. v. Meghriq*, 23 Cal.App.4th 1167, 28 Cal.Rptr.2d 676, 682 (1994). KFC might be able to state common law claims for private continuing nuisance and continuing trespass based on the Meghriqs' allegedly tortious contamination of the soil. See *id.*, 28 Cal.Rptr.2d at 685 (reversing dismissal and remanding to allow KFC to amend its complaint). Even though causes of action for nuisance, trespass, and potential negligence are available to plaintiffs such as KFC, tort remedies are generally inadequate because of the difficulties of proof and attendant court delays.

favor allowing a plaintiff to clean contaminated property first and seek reimbursement later. See *Price*, 688 F.2d at 214 ("Prompt preventive action [is] the most important consideration."). We therefore hold that § 6972(a)(1)(B) entitles KFC to bring a restitution action. REVERSED AND REMANDED.

BRUNETTI, Circuit Judge, dissenting:

Because I believe that RCRA § 7002, 42 U.S.C. § 6972(a)(1)(B), does not contemplate actions for restitution when there is no "imminent and substantial endangerment" at the time of suit, I must dissent from the majority's opinion.

The majority's main argument is that because the Eighth Circuit allowed the administrator to bring an action for restitution under § 6973, private citizens should be permitted to bring actions for restitution under § 6972(a)(1)(B) since those two sections are worded virtually identically. In *United States v. Aceto Agric. Chemicals Corp.*, 872 F.2d 1373, 1383 (8th Cir.1989) (emphasis in original), the Eighth Circuit held that "RCRA's 'imminent and substantial endangerment' language does not require the EPA to file and prosecute its RCRA action while 'the endangerment exists.'" The court found that "in the context of a reimbursement action, this would be an 'absurd and unnecessary' requirement. The endangerment language is plainly intended by Congress to limit the reach of RCRA to sites where the potential for harm is great." *Id.* at 1383. The court concluded that requiring an "imminent and substantial endangerment" at the time of suit would defeat RCRA's purpose to "give broad authority to the courts to grant all relief necessary to ensure complete protection of the public health and the environment." *Id.* (quotations omitted).

The Eighth Circuit's decision *assumes* without deciding that RCRA § 6973 provides for reimbursement actions. Looking at the two issues presented in the instant action makes this clear. Those two issues are: (1) whether RCRA requires an "imminent and substantial endangerment" at the time of filing suit, and (2) whether § 6972 is limited to injunctive, rather than restitutionary, relief.

Although the two issues are intertwined, allowing an action for restitution *after* a site has been cleaned up requires an affirmative answer to both questions. If the answer to either question is no, then the answer to the other question should also be no. Instead of addressing both questions under the statute, the Eighth Circuit assumed that RCRA permits reimbursement actions.

The majority adopts the Eighth Circuit's decision in *Aceto* without discussing its assumption that § 6973 permits reimbursement actions. This approach undermines the plain language of § 6972(a)(1)(B). Therefore, I disagree with the majority's unquestioning adoption of *Aceto*.¹

The majority relies on the language in § 6972(a)(1)(B), allowing the district court to restrain any person ... [or] order such person to take *such other action as may be necessary*, or both ..., to conclude that actions for reimbursement are contemplated by the statute. The majority finds KFC's action for restitution permissible, because it concludes that the language, "such other actions as may be necessary," allows the district court to award whatever relief it deems necessary.

I disagree, however, because I believe that the language, "such other action as may be necessary," does not contemplate actions for reimbursement. The legislative history suggests that reimbursement actions are not permitted and that an "imminent and substantial endangerment" must exist at the time of filing suit. The House Committee stated that citizens have "a limited right under Section 7002 to sue to *abate* an imminent and substantial

¹ I agree with the majority that § 6973 and § 6972(a)(1)(B), which are worded identically, should be interpreted the same. The legislative history supports this conclusion. See H.R. Rep. No. 198, 98th Cong., 2d Sess. 53 (1984), reprinted in, 1984 U.S.C.C.A.N. 5576, 5612, (citizens have right to sue "pursuant to the standards of liability established under Section 7003 [42 U.S.C. § 6973]"). However, because *Aceto* does not address the issue of reimbursement, I do not believe that the majority should rely on it to include actions for restitution within the scope of § 6972(a)(1)(B).

endangerment." H.R.Rep. No. 198, 98th Cong., 2d Sess. 53 (1984), *reprinted in*, 1984 U.S.C.C.A.N. 5576, 5612 (emphasis added). It also explains the primary goal of § 6972(a)(1)(B) as "the *prompt abatement* of imminent and substantial endangerments." *Id.* (emphasis added). Therefore, the majority's decision contravenes the plain language of the statute and the legislative history.

As to the "imminent and substantial endangerment requirement," the language of the statute suggests that it must exist at the time the private citizen files suit. Section 6972(a)(1)(B) allows suit against "any person . . . who has contributed or who is contributing to the past or present handling, storage, treatment, transportation or disposal of any solid or hazardous waste which *may present an imminent and substantial endangerment to health or the environment.*" This unambiguous language requires that the endangerment must be occurring at the time of filing suit. Only if the statute had read "may or *may have presented*" would it have implied that § 6972(a)(1)(B) permits reimbursement actions for an endangerment that had already cleaned up.

Moreover, the notice requirement under § 6972 supports the requirement - that an "imminent and substantial endangerment" must be present at the time of filing suit. Under § 6972(b)(2)(A)(i), a private citizen seeking to file suit under § 6972(a)(1)(B) must give notice to the administrator and cannot file suit for 90 days after giving such notice. The purpose of this notice requirement is to give the administrator the opportunity to bring suit itself, since under § 6972(b)(2)(B), a private citizen cannot bring suit if the administrator has initiated its own suit. Thus, the notice requirement and the fact that the administrator has the first and exclusive opportunity to bring suit suggest that § 6972 does not permit reimbursement actions and requires an "imminent and substantial endangerment" at the time of filing suit.

The majority argues that "there is no inconsistency between a notice requirement and recovery of clean-up costs from past polluters." See Opinion at 522. It finds that notice in a reimbursement action "still serves certain interests of the EPA and

the states by notifying them that endangerment was corrected and that the polluters are being held accountable." *Id.* However, the majority stretches the effects of the notice requirement too far, since all notice according to the majority's policy rationales really accomplishes is informing the EPA that *certain alleged polluters are being sued by a private citizen.* In addition, the majority states that "the Administrator must provide immediate notice of hazardous waste endangerment to the appropriate local governmental agencies, see 42 U.S.C. § 6973(c), and no courts have treated this notice requirement as a basis for refusing to allow governmental restitution] actions." See Opinion at 522. However, this rationale is inapposite, since the purpose of the notice requirement in § 6972(a)(1)(B) is to allow the administrator to bring suit instead of the private citizen. See H.R.Rep. No. 198, 98th Cong., 2d Sess. 53 (1984), *reprinted in* 1984 U.S.C.C.A.N. 5576, 5612 (The private citizens' right to sue "can only be exercised if the Administrator (following notice of the intended litigation) fails to file an action under 7003."). In contrast, the purpose of the notice requirement in § 6973(c) is not to have the local government agencies bring suit before the administrator. Thus, I believe that the majority uses faulty reasoning to obfuscate the fact that the notice requirement for private citizens shows that § 6972(a)(1)(B) does not permit reimbursement actions and requires an "imminent and substantial endangerment" at the time of filing suit.

The majority also dismisses without support the fact that RCRA lacks any statute of limitations for actions under § 6972(a)(1)(B). Because no statute of limitations exists under § 6972(a)(1)(B), if reimbursement actions are allowed, private citizens, like the KFC owners in this case, can bring suit against past contributors many years after cleaning up the contamination. This case is a prime example. The KFC owners brought the property from the Meghrips in 1975. KFC did not discover the contamination until October 1988. KFC cleaned up the property in 1989. Then in June 1990, it asked the Meghrips to reimburse its costs. Not until 1992 did KFC bring suit under RCRA. This course of events illustrates the problem that if reimbursement actions are permitted, private citizens will be able to sue past contributors many

years after the contamination and clean-up. Thus, the lack of a statute of limitations supports the fact that § 6972(a)(1)(B) does not contemplate reimbursement actions when there is no "imminent and substantial endangerment."

The majority recognizes the lack of limitations period and attempts to reconstruct Congressional intent to conclude that Congress did not intend for RCRA to have a statute of limitations. It notes that "Congress provided a limitations period in other statutes such as [CERCLA] when it expressly authorized actions to recover response costs...." See Opinion at 522. It uses this fact to conclude that "[i]nstead, in RCRA Congress provided that private plaintiffs retain the right 'to seek any other relief' available 'under any statute or common law' [under § 6972(f)]." This conclusion is illogical this is not an "instead" and does not indicate that Congress chose a statute of limitations period for CERCLA but not for RCRA. As the majority concedes, CERCLA included a statute of limitations "when it expressly authorized actions to recover response costs." *Id.* (emphasis added). This does not imply that because Congress included no statute of limitations in § 6972(a)(1)(B), it provided for reimbursement actions brought by private citizens at any time, unless barred by laches. *Id.* In fact, the lack of limitations period in RCRA in contrast to the limitations period in CERCLA and the express authorization for recovery of response costs suggests that Congress did not contemplate reimbursement actions in RCRA.

Furthermore, the majority finds support in § 6972(f), which provides that

[n]othing in this section shall restrict any right which any person (or class of persons) may have under any statute or common law to seek enforcement of any standard or requirement relating to the management of solid waste or hazardous waste, or to seek any other relief (including relief against the Administrator or a state agency).

§ 6972(f) (emphasis added). This section does not limit the type of relief available; however, it in no way suggests that a private citizen has a cause of action *under RCRA* for reimbursement of clean-up costs from a prior "imminent and substantial endangerment." It simply gives a person the right to bring any claim allowable under state or federal law.

The majority then states that it has "found no principled reason to distinguish between the relief available to the Administrator and that available to private plaintiffs under the virtually identical statutory provisions." See Opinion at 523. However, other than the Eighth's Circuit's decision in *Aceto*, which assumes reimbursement actions are permissible, the majority has offered no support for its conclusion that an "imminent and substantial endangerment" need not exist at the time of filing suit.

The majority's citation to *United States v. Price*, 688 F.2d 204 (3d Cir.1982) is wholly unpersuasive. In *Price*, the court did state that in the case before it "[p]rompt preventive action was the most important consideration. Reimbursement could thereafter be directed against those parties ultimately found to be liable." *Id.* at 214. However the court did not state that reimbursement would be available under RCRA § 6973. In addition, the court also stated that RCRA "authorizes the clean-up of a site, even a dormant one, if that action is necessary to abate a *present* threat to the public health or the environment." *Id.* (emphasis added). It also cited the Eckhardt Report which describes § 6973:

The section's broad authority to "take such other actions as may be necessary" includes both *short- and long-term injunctive relief*, ranging from the construction of dikes to the adoption of certain treatment technologies, upgrading of disposal facilities, and removal and incineration. Imminence in this section applies to the nature of the threat rather than identification of the time when the endangerment initially arose. The section, therefore, may be used for events which took place at some

time in the past but which *continue to present a threat to the public health or the environment*.

Id. at 213. Therefore, *Price* does not support suits under § 6973 for reimbursement when no "imminent and substantial endangerment" exists at the time of filing.

The majority also summarily rejects district court cases which have dismissed cases for reimbursement under § 6972(a)(1)(B). See *Kaufman and Briad-South Bay v. Unisys Corp.*, 822 F.Supp. 1468, 1477 (N.D.Cal.5/1993) ("While injunctive relief is available under § 6972(a)(1)(B), the statute does not provide a private action for damages. Nor should one be implied.... [Although the Eighth Circuit allowed a reimbursement action under § 6973, other] cases persuasively argue against implying a private remedy for damages or restitution."); *Commirce Holding Co. v. Buckstone*, 749 F.Supp. 441 (E.D.N.Y.1990) (injunctive relief available under § 6972(a)(1)(B) not damages and court will not imply right to private action for damages). Although these cases are more directly on point because they interpret § 6972(a)(1)(B), the statute at issue in this case, the majority dismisses them and chooses to follow *Aceto* from the Eighth Circuit which involved § 6973.

The majority also finds *Wall v. Waste Resource Corp.*, 761 F.2d 311 (6th Cir.1985), and *Environmental Defense Fund, Inc. v. Lamphier*, 714 F.2d 331 (4th Cir.1983), unpersuasive because they addressed actions brought under the predecessor to § 6972(a)(1)(A), "which authorized actions to 'enforce' a requirement against any person alleged to be currently 'in violation' of the requirement." See Opinion at 523. While the majority is correct that these cases did interpret another subsequently amended statute, it fails to recognize that the main difference between the prior statute and § 6972(a)(1)(B), the statute at issue in this case, is that under § 6972(a)(1)(B), private citizens can sue *past* contributors. This allows private citizens to require *past* contributors to clean-up sites, even if those past contributors are no longer contributing to the "imminent and substantial endangerment." It does not, however, imply that private citizens can sue *past* contributors for

reimbursement. Thus, while *Walls* and *Environmental Defense Fund* do not directly support the fact that § 6972(a)(1)(B) does not contemplate reimbursement actions, the fact that courts under § 6972(a) (now amended and § 6972(a)(1)(A)) would not imply private rights of action for damages indirectly could lend credence to the theory that those actions should not be permitted under either § 6972(a)(1)(B) or § 6973.

The majority's final arguments in favor of reimbursement actions under § 6972(a)(1)(B) are based on public policy. It recognizes that private citizens may not have time to bring actions for a mandatory clean-up injunction against past polluters before cleaning up as ordered by the government. This may be true, but we should not make a legislative determination that because some private citizens will not have time to bring suit before cleaning up as ordered, reimbursement actions should be implied under § 6972(a)(1)(B). In addition, there is nothing in the record in this case that indicates that KFC could not bring suit against the Meghriks before clean-up at the time they discovered the contamination. The majority speculates--theoretically, one could say just as easily that had KFC provided the EPA with notice at the time it discovered the contamination, the EPA would have brought suit against the Meghriks and ordered them to clean-up. Finally, the majority's policy considerations do not apply at all to § 6973. While normally policy considerations need not support another statutory provision, in this case, in which the majority heavily relies on the Eighth Circuit's decision to allow the administrator to sue for reimbursement under § 6973, it seems that some of the majority's policy concerns should apply to § 6973 as well, especially since the Eighth Circuit simply assumes that reimbursement actions are permitted under § 6973.

In conclusion, I understand the majority's desire to hold contaminators accountable. In this case, however, in which KFC failed to bring suit before clean-up, RCRA does not offer them a remedy. It is unfortunate in a case such as this that neither CERCLA nor state statutory schemes provide relief for KFC because the substance found at the site was petroleum. But, this is an issue that Congress should address. Maybe restitutionary actions

under RCRA are necessary and practical, but it is not something that Congress has thus far enacted into legislation.

I would affirm the district court's dismissal of the amended complaint.

APPENDIX B

UNITED STATES DISTRICT COURT
FOR THE CENTRAL
DISTRICT OF CALIFORNIA

Case No. 92-3269-HLH(Sx)
November 9, 1992

KFC WESTERN, INC.

v.

ALAN MEGHRIG and MARGARET MEGHRIG

ORDER DISMISSING ACTION

The motion to dismiss the First Amended Complaint (FAC) is granted without leave to amend. The action is dismissed by separate order signed and filed this date.

The complaint is a rewrite of the original complaint, with fancier labels attached. However, the substance is precisely the same. Plaintiff, a private (non-governmental) party sues for recovery of the costs expended for an environmental cleanup of contamination allegedly left on the property by defendant, a former owner. The cleanup is long since complete and allegedly cost plaintiff \$211,000. Plaintiff places the label "response costs" on the amount sought and classifies the recovery sought as "equitable restitution".

The action is brought solely under the Resource Conservation and Recovery Act (RCRA), 42 USC 6901-6992(k). No other federal or state claims (common law or statutory) are invoked. The court concludes that limiting the claim to one under RCRA is deliberate.

The difficulty with plaintiff's claim under RCRA is dual.

The private suit must be brought under §6972(a)(1)(B), which is the authority claimed by plaintiff in its complaint. However, that section is limited (1) to injunctive relief and (2) to situations which "present an imminent and substantial endangerment to health or the environment". Thus, there is no provision for suits for damage after the cleanup is done and the danger is gone. There may be (there probably are) other bases for recovery, but it is not in RCRA. These conclusions are expressed in Walls 6Cir'85 761 F2d 311, 316 (no damages in a private suit under RCRA) and Commerce Holding Co. EDNY'90 749 FSupp 441, 445 (ditto; suit to recover remediation costs is a damage suit). These cases comport with the language of the statute, which provides for injunctive relief only for an existing imminent danger.

Plaintiff argues that recovery of the costs of digging up and disposing of the contaminated earth is "equitable restitution" and should be classified as an equitable remedy. This might be so if there was anything else equitable about the case, as to which the damages sought would be incidental, but there is not. This is a straight suit for damages incurred by plaintiff for violation of a duty allegedly imposed by law on defendant; merely placing the equitable label on the remedy sought does not change its character.

Further, there is nothing now imminent about the danger. Plaintiff argues that suit can be brought if the danger was imminent before plaintiff expended the money to clean up the property, and cites Aceto 8Cir'89 872 F2d 1373 and Price 3Cir.'89 688 F2d 204. Each of these cases was decided under a different section (§6973), dealing with suits brought by the United States. Aceto was arguably an alternative holding but Price was only an off-the-cuff dictum. In Aceto, it was held irrelevant that the RCRA suit was not brought by the government before the cleanup in a situation in which CERCLA also applied. The language of §6973 (authorizing the government suit) bears certain similarities to the section in this case (authorizing a private suit), so the argument is not frivolous. However, the purposes of the two sections are entirely different. §6972(a)(1)(B) allows private plaintiffs to be "attorneys general" to force remedial measures for an imminent danger; thus the logic is that that section only applies to a suit for equitable relief. (See Commerce Holding, *supra*, at pg. 445; where the relief sought is to

benefit the plaintiff rather act for the public, the action is not within the scope of the purpose of §6972). So, here, even if some label could stick calling the relief sought "equitable" rather than one for damages, such relief is not within the purposes of the section. It can be readily argued that the same is not true of a suit by the United States under §6973. Whether all of this is true or not, the court does not consider Aceto controlling here, in dealing with a different section adopted for different purposes. The court cannot "buy" the heroic construction necessary to turn a section allowing injunctions to prevent imminent danger into a general damages statute.

Plaintiff has chosen to make or break this case on the single theory espoused. Since he cannot state a claim on that theory, the motion to dismiss is granted without leave and the action is dismissed.

This action is dismissed in its entirety with prejudice.

This is the final judgment for purposes of Fed.R.Civ.P. 54(a). It shall be entered pursuant to Fed.R.Civ.P. 58 and 79(a), and served upon the parties.

IT IS SO ORDERED.

Date: November 9, 1992

/s/ Harry L. Hupp
HARRY L. HUPP
United States District Judge

APPENDIX C

UNITED STATES DISTRICT COURT
FOR THE CENTRAL
DISTRICT OF CALIFORNIA

Case No. 92-3269-HLH(Sx)
September 21, 1992

KFC WESTERN, INC.

v.

ALAN MEGHRIG and MARGARET MEGHRIG

ORDER

The motion to dismiss is granted with 10 days leave to amend.

Since § 6972(a)(1)(B) does not provide for a private damage suit (Walls 6Cir'85 761 F2d 311, 316; Commerce Holding Co. EDNY'90 749 FSupp 441, 445), and that is what this is, no claim is stated. Plaintiff says that it sues for restitution (an equitable remedy), but that approach is merely applying an inapplicable label to what is clearly a suit for damages. There is no money received by defendant from plaintiff that plaintiff wishes to have restored to it (i.e. "restitution"). Instead, plaintiff has allegedly suffered damage which it claims was caused by defendant. That, surely, involves a suit for money damages.

Defendant appears to be correct about one other thing also: that is, there is no "imminent" danger, a prerequisite of a private suit. Since the clean-up is done, there is no present danger at all. This, of course, goes to the same basic concept that the statute provides only for equitable relief, not for damages.

Since the section sued under requires 90 days notice, which is not alleged, there is an additional problem for plaintiff to solve.

Since the complaint is under subsection B, not subsection A as posited by defendant, there is no retroactivity problem. The statute is expressly retroactive. It just does not provide for a private damage suit.

APPENDIX D

UNITED STATES COURT OF APPEALS
NINTH CIRCUIT

April 14, 1995

Docket No. 92-56597

KFC WESTERN, INC.,
Plaintiff-Appellant,

v.

ALAN MEGHRIG and MARGARET MEGHRIG,
Defendants-Appellees.

ORDER

Before: BROWNING, PREGERSON, and BRUNETTI,
Circuit Judges.

Judges Browning and Pregerson vote to deny appellees' petition for rehearing. Judge Brunetti would grant the petition.

Judges Browning and Pregerson vote to reject the suggestion for rehearing en banc. Judge Brunetti would grant the suggestion for rehearing en banc.

The full court has been advised of the suggestion for rehearing en banc and no active judge has requested a vote on whether to rehear the matter en banc. Fed. R. App. P. 35.

The petition for rehearing is denied and the suggestion for rehearing en banc is rejected.

APPENDIX E

UNITED STATES CODE, TITLE 42

§ 6972. Citizens' suits**(a) In general**

Except as provided in subsection (b) or (c) of this section, any person may commence a civil action on his own behalf-

(1)(A) against any person (including (a) the United States, and (b) any other governmental instrumentality or agency, to the extent permitted by the eleventh amendment to the Constitution) who is alleged to be in violation of any permit, standard, regulation condition, requirement, prohibition, or order which has become effective pursuant to this chapter; or

(B) against any person, including the United States, and any other governmental instrumentality or agency, to the extent permitted by the eleventh amendment to the Constitution, and including any past or present generator, past or present transporter, or past or present owner or operator of a treatment, storage, or disposal facility, who has contributed or who is contributing to the past or present handling, storage, treatment, transportation, or disposal of any solid or hazardous waste which may present an imminent and substantial endangerment to health or the environment; or

(2) against the Administrator where there is alleged a failure of the Administrator to perform any act or duty under this chapter which is not discretionary with the Administrator.

Any action under paragraph (a)(1) of this subsection shall be brought in the district court for the district in which the alleged violation occurred or the alleged endangerment may occur. Any action brought under paragraph (a)(2) of this subsection may be

brought in the district court for the district in which the alleged violation occurred or in the District Court of the District of Columbia. The district court shall have jurisdiction, without regard to the amount in controversy or the citizenship of the parties, to enforce the permit, standard, regulation, condition, requirement, prohibition, or order, referred to in paragraph (1)(A), to restrain any person who has contributed or who is contributing to the past or present handling, storage, treatment, transportation, or disposal of any solid or hazardous waste referred to in paragraph (1)(B), to order such person to take such other action as may be necessary, or both, or to order the Administrator to perform the act or duty referred to in paragraph (2), as the case may be, and to apply any appropriate civil penalties under section 6928(a) and (g) of this title.

(b) Actions prohibited

(1) No action may be commenced under subsection (a)(1)(A) of this section-

(A) prior to 60 days after the plaintiff has given notice of the violation to-

(i) the Administrator;

(ii) the State in which the alleged violation occurs;
and

(iii) to any alleged violator of such permit, standard, regulation, condition, requirement, prohibition, or order, except that such action may be brought immediately after such notification in the case of an action under this section respecting a violation of subchapter III of this chapter; or

(B) if the Administrator or State has commenced and is diligently prosecuting a civil or criminal action in a court of the United States or a State to require compliance with such permit, standard, regulation, condition, requirement, prohibition, or order.

In any action under subsection (a)(1)(A) of this section in a court of the United States, any person may intervene as a matter of right.

(2)(A) No action may be commenced under subsection (a)(1)(B) of this section prior to ninety days after the plaintiff has given notice of the endangerment to-

(i) the Administrator;

(ii) the State in which the alleged endangerment may occur;

(iii) any person alleged to have contributed or to be contributing to the past or present handling, storage, treatment, transportation, or disposal of any solid or hazardous waste referred to in subsection (a)(1)(B) of this section, except that such action may be brought immediately after such notification in the case of an action under this section respecting a violation of subchapter III of this chapter.

(B) No action may be commenced under subsection (a)(1)(B) of this section if the Administrator, in order to restrain or abate acts or conditions which may have contributed or are contributing to the activities which may present the alleged endangerment-

(i) has commenced and is diligently prosecuting an action under section 6973 of this title or under section 106 of the Comprehensive Environmental Response, Compensation and Liability Act of 1980 [42 U.S.C.A. § 9606];

(ii) is actually engaging in a removal action under section 104 of the Comprehensive Environmental Response, Compensation and Liability Act of 1980 [42 U.S.C.A. § 9604];

(iii) has incurred costs to initiate a Remedial Investigation and Feasibility Study under section 104 of the Comprehensive Environmental Response, Compensation and Liability Act of 1980 [42 U.S.C.A. § 9604] and is diligently proceeding with a remedial action under that Act [42 U.S.C.A. § 9601 et seq.]; or

(iv) has obtained a court order (including a consent decree) or issued an administrative order under section 106 of the Comprehensive Environmental Response,

Compensation and Liability Act of 1980 [42 U.S.C.A. § 9606] or section 6973 of this title pursuant to which a responsible party is diligently conducting a removal action, Remedial Investigation and Feasibility Study (RIFS), or proceeding with a remedial action.

In the case of an administrative order referred to in clause (iv), actions under subsection (a)(1)(B) of this section are prohibited only as to the scope and duration of the administrative order referred to in clause (iv).

(C) No action may be commenced under subsection (a)(1)(B) of this section if the State, in order to restrain or abate acts or conditions which may have contributed or are contributing to the activities which may present the alleged endangerment-

(i) has commenced and is diligently prosecuting an action under subsection (a)(1)(B) of this section;

(ii) is actually engaging in a removal action under section 104 of the Comprehensive Environmental Response, Compensation and Liability Act of 1980 [42 U.S.C.A. § 9604]; or

(iii) has incurred costs to initiate a Remedial Investigation and Feasibility Study under section 104 of the Comprehensive Environmental Response, Compensation and Liability Act of 1980 [42 U.S.C.A. § 9604] and is diligently proceeding with a remedial action under that Act [42 U.S.C.A. § 9601 et seq.].

(D) No action may be commenced under subsection (a)(1)(B) of this section by any person (other than a State or local government) with respect to the siting of a hazardous waste treatment, storage, or a disposal facility, nor to restrain or enjoin the issuance of a permit for such facility.

(E) In any action under subsection (a)(1)(B) of this section in a court of the United States, any person may intervene as a matter of right when the applicant claims an interest relating to the subject of the action and he is so situated that the disposition of the action may, as a practical matter, impair or impede his ability to

protect that interest, unless the Administrator or the State shows that the applicant's interest is adequately represented by existing parties.

(F) Whenever any action is brought under subsection (a)(1)(B) of this section in a court of the United States, the plaintiff shall serve a copy of the complaint on the Attorney General of the United States and with the Administrator.

(c) Notice

No action may be commenced under paragraph (a)(2) of this section prior to sixty days after the plaintiff has given notice to the Administrator that he will commence such action, except that such action may be brought immediately after such notification in the case of an action under this section respecting a violation of subchapter III of this chapter. Notice under this subsection shall be given in such manner as the Administrator shall prescribe by regulation. Any action respecting a violation under this chapter may be brought under this section only in the judicial district in which such alleged violation occurs.

(d) Intervention

In any action under this section the Administrator, if not a party, may intervene as a matter of right.

(e) Costs

The court, in issuing any final order in any action brought pursuant to this section or section 6976 of this title may award costs of litigation (including reasonable attorney and expert witness fees) to the prevailing or substantially prevailing party, whenever the court determines such an award is appropriate. The court may, if a temporary restraining order or preliminary injunction is sought, require the filing of a bond or equivalent security in accordance with the Federal Rules of Civil Procedure.

(f) Other rights preserved

Nothing in this section shall restrict any right which any person (or class of persons) may have under any statute or common law to seek enforcement of any standard or requirement relating to the management of solid waste or hazardous waste, or to seek any other relief (including relief against the Administrator or a State agency).

(g) Transporters

A transporter shall not be deemed to have contributed or to be contributing to the handling, storage, treatment or disposal, referred to in subsection (a)(1)(B) of this section taking place after such solid waste or hazardous waste has left the possession or control of such transporter, if the transportation of such waste was under a sole contractual arrangement arising from a published tariff and acceptance for carriage by common carrier by rail and such transporter has exercised due care in the past or present handling, storage, treatment, transportation and disposal of such waste.